

COMMITTEE ON HEALTH AND HUMAN SERVICES
SENATE AMENDMENTS TO S.B. 1162
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 4, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-405.04, to read:

4 36-405.04. Licensing and monitoring of health care
5 institutions; joint review of monitoring and
6 compliance functions; reporting requirement

7 [A.] THE DEPARTMENT SHALL LICENSE AND MONITOR THE OPERATION OF
8 HEALTH CARE INSTITUTIONS TO ENSURE COMPLIANCE WITH THIS CHAPTER.

9 [B. THE DEPARTMENT AND] THE ARIZONA HEALTH CARE COST CONTAINMENT
10 SYSTEM ~~[MAY NOT DUPLICATE THE] [SHALL COORDINATE TO REVIEW] MONITORING AND~~
11 ~~COMPLIANCE FUNCTIONS [OF THE DEPARTMENT AND SHALL ACCEPT THE DECISIONS OF~~
12 ~~THE DEPARTMENT CONCERNING COMPLIANCE WITH] [TO IDENTIFY AREAS OF OVERLAP~~
13 ~~RELATED TO HEALTH CARE INSTITUTION] LICENSING STANDARDS. [THE REVIEW MUST~~
14 INCLUDE, AT A MINIMUM:

15 1. LICENSING, CERTIFICATION AND ENROLLMENT REQUIREMENTS.

16 2. ON-SITE SURVEYS, INSPECTIONS, AUDITS AND OTHER COMPLIANCE
17 ACTIVITIES.

18 3. DATA COLLECTION AND REPORTING REQUIREMENTS.

19 4. CORRECTIVE ACTION AND ENFORCEMENT PROCESSES APPLICABLE TO HEALTH
20 CARE INSTITUTIONS.

21 C. THE DEPARTMENT AND THE ARIZONA HEALTH CARE COST CONTAINMENT
22 SYSTEM SHALL:

23 1. IDENTIFY OPPORTUNITIES TO ELIMINATE OR REDUCE DUPLICATIVE,
24 REDUNDANT OR INCONSISTENT REQUIREMENTS WHILE MAINTAINING PATIENT SAFETY
25 AND APPROPRIATE REGULATORY OVERSIGHT.

26 2. COORDINATE OR ALIGN POLICIES, PROCEDURES AND OPERATIONAL
27 PRACTICES TO MINIMIZE ADMINISTRATIVE BURDENS ON HEALTH CARE INSTITUTIONS.

1 D. THIS SECTION DOES NOT REQUIRE ANY ACTION THAT IS INCONSISTENT
2 WITH FEDERAL MEDICAID CONDITIONS OF PARTICIPATION, CONDITIONS OF PAYMENT
3 OR OTHER APPLICABLE FEDERAL REQUIREMENTS.

4 E. ON OR BEFORE DECEMBER 31, 2026 AND ON OR BEFORE OCTOBER 31 EVERY
5 FOUR YEARS THEREAFTER, THE DEPARTMENT SHALL SUBMIT A WRITTEN REPORT TO THE
6 HOUSE OF REPRESENTATIVES AND THE SENATE HEALTH AND HUMAN SERVICES
7 COMMITTEES, OR THEIR SUCCESSOR COMMITTEES, THAT SUMMARIZES THE FINDINGS OF
8 THE REVIEW, IDENTIFIES AREAS OF DUPLICATION OR OVERLAP AND INCLUDES
9 RECOMMENDATIONS FOR STATUTORY, REGULATORY OR ADMINISTRATIVE CHANGES.]

10 ~~<<Sec. 2. Title 36, chapter 4, article 2, Arizona Revised Statutes,~~
11 ~~is amended by adding section 36-424.04, to read:~~

12 ~~36-424.04. Compliance inspections; complaint investigations~~

13 ~~A. THE DEPARTMENT MAY CONDUCT AN OFF-SITE PRELIMINARY REVIEW OF A~~
14 ~~COMPLAINT OR SELF-REPORT USING WRITTEN OR VERBAL COMMUNICATION OR~~
15 ~~DOCUMENTATION FROM THE LICENSEE TO DETERMINE WHETHER AN ON-SITE COMPLIANCE~~
16 ~~INSPECTION OR COMPLAINT INVESTIGATION IS NECESSARY. IF THE REVIEW~~
17 ~~CONFIRMS THAT THE LICENSEE HAS IMPLEMENTED SYSTEMS AND PROCESSES THAT MAKE~~
18 ~~FURTHER VIOLATIONS UNLIKELY AND THE LICENSEE PROVIDES SUFFICIENT EVIDENCE~~
19 ~~OF COMPLIANCE, THE DEPARTMENT SHALL CLOSE THE COMPLAINT AND NO FURTHER~~
20 ~~INVESTIGATION IS REQUIRED.~~

21 ~~B. IF THE DEPARTMENT RECEIVES A COMPLAINT OR ALLEGATION OF~~
22 ~~NONCOMPLIANCE MORE THAN TWELVE MONTHS AFTER AN INCIDENT OCCURRED, THE~~
23 ~~DEPARTMENT IS NOT REQUIRED TO CONDUCT A COMPLIANCE INSPECTION OR COMPLAINT~~
24 ~~INVESTIGATION AND SHALL CLOSE THE COMPLAINT.>>~~

25 Enroll and engross to conform

26 Amend title to conform

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